

Bandit allyship: a theory of (imperial) co-optation

Abstract

With whom does the roving bandit ally? Existing research emphasizes the importance of exploiting domestic cleavages to exert control (Acemoglu et al., 2004; Padró i Miquel, 2007), but leaves open a series of strategic choices. Should the conqueror restore pre-conflict order by peacekeeping for the incumbent, or should it pursue sponsorship for the rebellion? Should it empower an ethnic minority or align itself with the majority? This paper develops a theory of foreign conquest that identifies the mechanisms shaping these choices. The baseline incentive of the emperor is to support aggrieved opposition groups. Only when domestic balance of power is featured by incumbent predominance does it favor the incumbent as the vassal. The benchmark assumption of a relentlessly expansionist foreign weakens once taken out of the political vacuum. Ideological, religious, or ethnic affinities can impose preference constraints that limit the pursuit of opportunistic conquest. The paper illustrates these two mechanisms by developing a benchmark model and a preference extension. The insight extracted from the model is applied to a comparative study of British and French colonial rule.

Keywords: indirect rule, divide and rule, co-optation, colonial political economy, foreign intervention, formal theory

1 Two traditions

Be it coalition formation (Acemoglu et al., 2008) or rebel sponsorship (Salehyan et al., 2011; Di Lonardo et al., 2020; Qiu, 2022), war often involves three actors. The foreign, the incumbent, and the rebel. Sometimes foreign powers engage in “peacekeeping” and work to re-establish order for the incumbent; other times foreign sponsorship for the armed rebels emerges. When commitments to religion and ideology are taken out of the equation, and we look at the crude material structure, whose side should the foreign power take?

Pivoting around these three actors, countless scholarly contributions have been made: An interstate dispute can lead to foreign sponsorship of rebel groups, and a civil war can lead

to externalization (Gleditsch et al., 2008). Extensive studies have been devoted to the internationalization of civil wars (Gleditsch et al., 2008; Findley and Teo, 2006; Johnson et al., 2024), the foreign sponsorship of rebel groups (Qiu, 2022; Di Lonardo et al., 2020), peace-keeping (Walter, 1997), and other related phenomena such as subsequent democratization (Gleditsch and Ward, 2006; Colaresi, 2014).

Before the sovereign order, however, anarchy was more potent, and fluid state borders resulted. Foreign sponsorship for rebel or incumbent groups includes another menu option that was not contemporaneously available, that of indirect rule. Under indirect rule, the foreign power neither departs nor governs alone but shares power with a local intermediary and stays. As a result, there was no meaningful differentiation between the three actors except for the sequence of moves. Unlike a “peace-keeper”, imperial power can maintain a durable presence in the target polity without having to leave. Expanding Foreign’s action space by allowing power-sharing with Foreign presence, the paper specifies the core dynamic of alliance formation from Salehyan et al. (2011) but differs from the principal-agent format popularized by Bapat (2012) and Padró i Miquel and Yared (2012). Instead, the model situates itself in a colonial context and addresses a fundamental puzzle: under what specific conditions do foreign interveners ally with weaker, subordinate factions versus reinforcing the authority of dominant incumbents, or reign over parallel vassals?

The closest term that coins the phenomenon that the model wishes to capture is an opportunistic war, which often stems from tension and fragmentation within (Walt, 1996). The subordinate faction, marginalized under the prevailing distribution of political authority, possesses stronger incentives to accept external patronage (Salehyan et al., 2011). On the other hand, allying with the weaker party allows the foreign power to extract more favorable terms for power-sharing. Both the demand and supply sides can find their empirical backbone in numerous historical episodes: the Mongol alliance with the Southern Song against the Jin dynasty, Spanish collaboration with Tlaxcala against the Aztec Empire, and British support for minority commercial interests in colonial entrepôts.

Yet this expectation sits uneasily with a substantial body of evidence from African colonial history. French colonial administration in West Africa frequently reinforced the authority of existing paramount chiefs and traditional rulers (Crowder, 1964). British indirect rule in Northern Nigeria explicitly preserved and strengthened the Sokoto Caliphate’s institutional apparatus (Lugard, 1922). In Buganda, the British collaborated with the established Kabaka despite the presence of subordinate groups amenable to external alliance (Mamdani, 1996). These patterns suggest that collaboration with dominant incumbents may, under certain conditions, constitute an equilibrium strategy.

This paper develops a formal model that reconciles these seemingly contradictory empirical patterns. The baseline model, analyzing a one-shot interaction between a foreign power and two domestic factions, confirms the first intuition: foreign actors optimally ally with the faction experiencing the greatest disjuncture between its coercive capacity and its share of the domestic status quo distribution. A “grievance condition”, as if, where the foreign power co-opts the aggrieved faction with a stronger incentive to overturn existing arrangements (Salehyan et al., 2011).

The option to collaborate with the incumbent reemerged once we allowed for a repeated framework with budget constraints. Because the money is limited, the level of resources that can be delivered for sponsorship is also limited. As a result, the attractive option to support the weaker faction becomes obsolete, as the subordinate allies possess limited administrative capacity, require ongoing military subsidization, and provide a rather limited bureaucratic apparatus. By contrast, collaboration with established incumbents can yield durable partnerships with fewer subsequent resource requirements, albeit such a choice demands more autonomy concessions.

Beyond this “economist” world, however, political constraint can limit the scope under which co-optation occurs in meaningful ways. The imperial state can therefore opt out of initiating co-optation altogether when the cost of conquest is too grave and political preferences are misaligned. Echoed in both historical and contemporary cases, we could draw insight to address numerous instances in which foreign sponsorship of rebels is withdrawn when strategic objectives could have warranted assistance for the aggrieved section*.

In a more general sense, we might benefit from the discussion when pondering over the difference between coalition formation (Deutsch and Singer, 1964; Niou and Ordeshook, 1990; Acemoglu et al., 2008) and a two-level game (Putnam, 1988; Fearon, 1994; Schultz, 1998)? In other words, is there a categorical difference between the critical mass as the domestic audience and another “state”? We might come to perceive that indirect rule is a key linchpin connecting these two strands of the literature. As previous studies focus almost exclusively on the world after the sovereign-national order, durable foreign sponsorship is rarely granted. And bilateral relations under anarchy are more durable than Acemoglu et al. (2008) have assumed. Imperial co-optation and colonial control fill a “middle space” when there is no full-on anarchy but the sovereign has not yet begun. Interrogating this middle place strikes one as particularly important, as it reveals dynamics that have evaded scholarly attention. The scenario in the middle captures a phenomenon in which the sponsee “state” does not evaporate and the sponsor state does not leave: they merge into a joint governing regime under the protocol of indirect rule.

The argument proceeds in three further steps, each developed as a formal extension with proofs collected in the appendix. extension introduces preference alignment between Foreign and each faction and the prospect that a vassal opts out of the arrangement, demonstrating that misalignment caps sustainable tribute and pulls co-optation toward the ideologically proximate partner even when it is not the most extractable. The third extension endogenizes agenda-setting power, showing that a sufficiently centralized incumbent dictates the terms of its own overrule, securing collaboration on autonomy-preserving terms. Together the extensions bound the divide-and-conquer logic and specify when the rebel-sponsorship calculus “back the weak” gives way to the colonial calculus “rule through the strong.”

2 The model

A war usually involves three actors: a foreign, an incumbent, and a rebel. We are going to situate the model in a predominantly historical context before the sovereign order, but the central dynamic can also apply to contemporaneous state sponsorship of rebel groups. The “unit of analysis” for the model is taxable income and collectible revenue. That is, parties are bargaining and contending over how to tax a mass of subjects that delivers raw production. The specification of the model is mathematically light and introduced with substantive prose below:

Environment

Imagine a game where an emperor F considers strategies over a target polity divided between two domestic factions; call these two factions D_1 and D_2 . Normalize the tax revenue collectible in this target polity as 1. Without loss of generality, the status quo allocates a share $s \in (0, 1)$ to D_1 and $1 - s$ to D_2 . For convenience, write $s_1 = s$ and $s_2 = 1 - s$. Since we typically expect the incumbent to have a larger share of domestic resources, for ease of interpretation, we could think of s_1 as the incumbent when $s > 1 - s$ and s_2 as the rebel; and vice versa. Each actor $i \in \{f, 1, 2\}$ is endowed with military capability, denoted by m_i . Conflict is governed by a contest success function $p(x, y) = \frac{x}{x+y}$, the probability that a force of size x defeats a force of size y . That means, if foreign wages a war against faction 1, she will have a winning chance denoted by $p(m_f, m_1) = \frac{m_f}{m_f + m_1}$.

Sequence of moves

1. F selects among three alternatives:
 - she could maintain the status quo and forgo intervention;

- she might opt to invade unilaterally, anticipating to wage a war against the unified domestic opposition. Because she forfeits collaboration, we assume that she will govern alone upon victory and penetrate the local polity with elites at home;
 - she might want to propose a co-optation arrangement $\tau = (\tau_1, \tau_2)$ specifying a tribute rate for each faction under indirect rule where τ_i is F 's share of the collected revenue from these local vassals. This option is straightforward in colonial times, but we can also think of a current arrangement, such as Akhmad Kadyrov's defection to Putin, as applicable.
2. If F proposes a deal in the last phase, D_1 and D_2 get to move in the sense that they simultaneously choose whether to cooperate with or resist F .
 3. Finally, we resolve any conflict that arises and payoffs for each party are realized.

Payoff structure

Under the status quo, payoffs are straightforwardly $(0, s, 1 - s)$ for foreign F , incumbent, and opposition.

Another rather straightforward scenario is if F , the foreign party, decides to wage war unilaterally. As such, F fights the two factions combined, wins with probability $p(m_f, m_1 + m_2)$. Upon victory, we introduce a lump-sum term for administrative burden κ_D , which is an inadvertent feature for ruling an alien society without local intermediaries; each belligerent must also pay a war cost $c_i > 0$. If the domestic "united front" is successful, the status quo is restored, and each faction retains its previous share of the revenue¹. Therefore, we could derive the payoff distribution as the following:

$$U_F(\text{Invade}) = p(m_f, m_1 + m_2)(1 - \kappa_D) - c_f \quad U_i(\text{Invade}) = U_j(\text{Invade}) = p(m_1 + m_2, m_f)s_i - c_i \quad (1)$$

If there were a co-optation deal made, situations become slightly more complicated. First, consider the case where both factions cooperate. Since costly conflict is avoided and a viable protocol is established, F can install parallel vassals and get to collect $\tau_1 s + \tau_2(1 - s)$ for nothing but devising a credible threat. The remaining two factions get "robbed" willingly by retaining $(1 - \tau_i)s_i$ of the revenue collected.

$$U_F(\text{Co-opt}) = \tau_1 s + \tau_2(1 - s) \quad U_i(\text{Co-opt}) = (1 - \tau_i)s_i. \quad (2)$$

¹This is definitely a questionable assumption, but discussing the complicated scenario of a redistribution of power-sharing after the Foreign encounter exceeds the scope of this research note. Oftentimes, such re-negotiation depends on the idiosyncratic realization of war outcomes

The robbery may still result in full-fledged war when at least one of the faction resists. Without loss of generality, suppose the cooperating faction is D_i , and the newly formed coalition between Foreign and D_i can prevail with probability $p(m_f + m_i, m_j)$. Subsequently, victory for this newly formed coalition is an indirect rule arrangement under which Foreign governs through the surviving vassal. If, in the unlikely event, the stand-alone faction wins, it can seize the entire revenue collected without having to share. Incorporating the certainty equivalent of war, the ex ante distribution of payoff for each party can be written as the following:

$$\begin{aligned} U_F(\text{Defect}) &= p(m_f + m_i, m_j) \tau_i - c_f, \\ U_i(\text{Defect}) &= p(m_f + m_i, m_j)(1 - \tau_i) - c_i, \\ U_j(\text{Resist}) &= 1 - p(m_f + m_i, m_j) - c_j. \end{aligned}$$

2.1 Equilibrium analysis for the one-shot benchmark

There are two points worth noting before the math here. First, the core conjecture of the game is that Foreign is creating a prisoner's dilemma for the two domestic factions. Had one faction chosen to collaborate with the foreign, it is fairly easy to buy off another defection because you avoid the bleak prospect of an unlikely victory and the grave cost of a war.

But this model also deals with an additional question: what does the police prefer in a prisoner's dilemma? We always assume that mutual defection, and in our case, parallel vassals, is the ideal outcome that police would like to induce. But this assumption is sensitive to the division of power between the two criminals. We see many cases in the justice system where a plea deal is offered to secure convictions against the bigger fish. In our case, analogously, foreign sometimes work with the underdog to bring down the incumbent.

Lemma 1 (Domestic best responses). *Define the acceptance thresholds*

$$\tau_i^C \equiv 1 - \frac{p(m_i, m_f + m_j) - c_i}{s_i}, \quad \tau_i^R \equiv 1 - \frac{p(m_1 + m_2, m_f) s_i}{p(m_f + m_i, m_j)}.$$

D_i cooperates against a cooperating D_j iff $\tau_i \leq \tau_i^C$, and against a resisting D_j iff $\tau_i \leq \tau_i^R$.

Notice we don't straightforwardly have a clear relationship between τ_i^C and τ_i^R . Without loss of generality, observe that $\tau_1^R > \tau_1^C$ if and only if

$$s^2(m_f m_2 + 2m_1 m_2 + m_2^2) > (1 - s)^2(m_1 m_f + m_1^2)$$

In other words, which one is cheaper for Foreign is sensitive to the existing status quo distribution of resources. This observation will be key to subsequent analysis.

Proposition 1. *Let*

$$\underline{s} \equiv p(m_1, m_2) - \frac{c_f + c_1 + c_2}{p(m_1 + m_2, m_f)}, \quad \bar{s} \equiv p(m_1, m_2) + \frac{c_f + c_1 + c_2}{p(m_1 + m_2, m_f)}.$$

If $s < \underline{s}$, F co-opts D_1 alone and fights D_2 ²; if $s > \bar{s}$, F co-opts D_2 alone and defeats D_1 ; if $s \in (\underline{s}, \bar{s})$, F installs dual vassalage at (τ_1^C, τ_2^C) .

We might call what selects the partner something close to a grievance formally defined by the gap between a faction's military weight, $p(m_1, m_2)$, and its share, s . When $s < \underline{s}$, D_1 is militarily rather strong compared to how little it extracts from the core revenue. Its outside option is poor, so it accepts a steep tribute, and F profits most by arming it against the incumbent. Ally with the strong but aggrieved challenger, against the established but militarily weaker holder of the status quo. Otherwise, a smooth, warless parallel vassal is installed. Figure 1 summarizes the three regions.

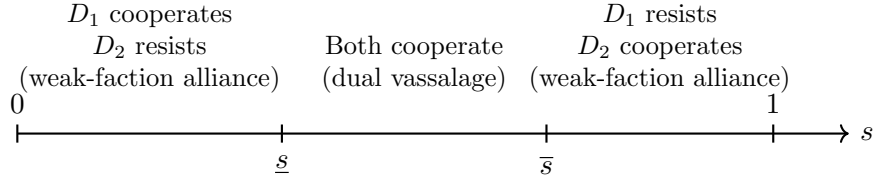


Figure 1: Foreign Power's Optimal Co-optation Strategy in One-Shot Game.

It is tempting to read the co-opted partner as always the smaller, aggrieved faction, the minority armed against the majority. That reading is mistaken. The co-opted faction holds share s in the lower region $s < \underline{s}$, and whether this share falls short of $\frac{1}{2}$ depends on where $\underline{s}$ sits. The next result pins it down.

Corollary 1 (A minority or a majority partner). *The single faction the foreign co-opts holds a minority of the revenue, a share below $\frac{1}{2}$, in whichever extreme obtains, if and only if*

$$\left| p(m_1, m_2) - \frac{1}{2} \right| \leq \frac{c_f + c_1 + c_2}{p(m_1 + m_2, m_f)},$$

which under $p(x, y) = x/(x + y)$ reduces to

$$|m_1 - m_2| \leq 2(c_f + c_1 + c_2)(m_1 + m_2 + m_f).$$

²Perhaps by offering a deal that cannot be accepted such that $\tau_2 > \max\{\tau_2^C, \tau_2^R\}$

If the military gap exceeds this bound, the foreign instead co-opts the militarily dominant faction over a range where it already commands the majority.

So whether the foreign empowers a minority or sides with the majority is not a matter of taste but of the military balance set against the cost of war. When the two factions are militarily close, $m_1 \approx m_2$, the gap is small and the condition holds: the foreign co-opts only where its partner is a resented minority, the classic divide-and-rule alliance with the aggrieved. When one faction is militarily dominant, $m_1 \gg m_2$, the condition fails: the foreign throws in with the strong, even where the strong already hold most of the country. Empowering a minority and ruling through the established majority are thus two regions of one benchmark, separated by the size of the military gap. The abstract's question answers itself.

Figure 2 reads the same three regions of Proposition 1 through the incumbent–opposition lens by overlaying the line $s = \frac{1}{2}$, which separates the share configurations in which D_1 is the opposition ($s < \frac{1}{2}$) from those in which D_1 is the incumbent ($s > \frac{1}{2}$). The single co-opted faction is the opposition wherever its own share falls below $\frac{1}{2}$, and the incumbent only in the sliver between $\frac{1}{2}$ and the boundary cutoff. Panel (a) is the case $\underline{s} > \frac{1}{2}$, where D_1 is militarily dominant: the foreign collaborates with the opposition on $[0, \frac{1}{2})$ and on $(\bar{s}, 1]$, but with the incumbent on $[\frac{1}{2}, \underline{s})$. Panel (b) is the mirror case $\bar{s} < \frac{1}{2}$, where D_2 is militarily dominant: collaboration runs with the opposition on $[0, \underline{s})$ and on $[\frac{1}{2}, 1]$, and with the incumbent on $(\bar{s}, \frac{1}{2})$. In the symmetric remainder, $\underline{s} \leq \frac{1}{2} \leq \bar{s}$, both cutoffs sit on the same side of $\frac{1}{2}$ as in Figure 1 and the co-opted partner is the opposition throughout.

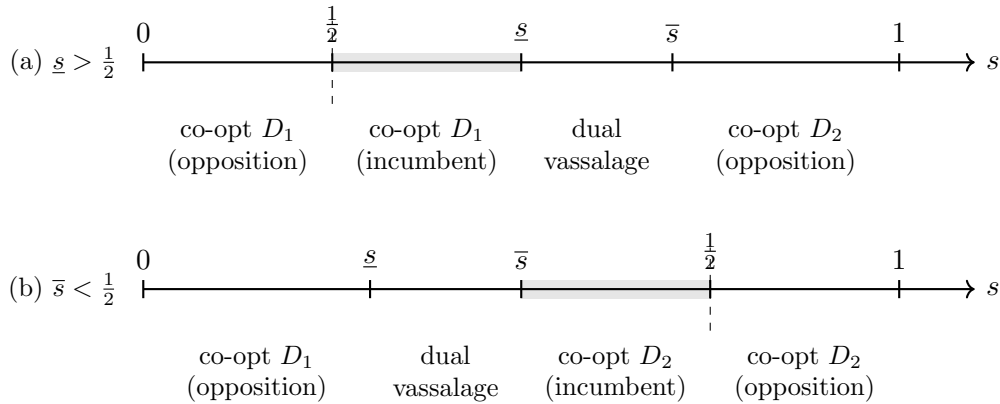


Figure 2: Incumbent versus opposition partner when a cutoff crosses $s = \frac{1}{2}$. The dashed line marks $s = \frac{1}{2}$; left of it D_1 is the opposition, right of it D_1 is the incumbent. The foreign collaborates with the incumbent only in the shaded sliver between $\frac{1}{2}$ and the boundary cutoff, and with the opposition elsewhere.

Proposition 2 (Conquest is never strictly preferred). *For all parameter values, F does not strictly prefer unilateral invasion to co-optation.*

Because vassalage is always available, which yields F a payoff of $p(m_f, m_1 + m_2) + c_1 + c_2$, unilateral invasion, which yields $p(m_f, m_1 + m_2)(1 - \kappa_D) - c_f$, is always strictly dominated. Direct rule pays the governance cost κ_D and forfeits the war costs c_1, c_2 that resistance would otherwise impose on the factions. We can think of this as co-optation lets the conqueror offload the burden of governing onto locals while still extracting tribute. It's a sweet robbery compared to having to bite alone.

3 Extension: repeated intervention under a budget

The benchmark let the foreign mobilize without limit. A conqueror who must spread one war chest across more than one target faces a different calculus, and it is here that collaboration with the majority incumbent stops being a knife-edge curiosity and becomes a region of real size.

Consider two periods $t \in \{1, 2\}$, indexing either one polity held across two periods or two comparable targets. Hold the military and share primitives fixed and take $m_1 > m_2$, so that D_1 is the militarily dominant faction and, wherever $s > \frac{1}{2}$, the established incumbent. At the upper edge of the benchmark majority band the foreign weighs two ways to govern. It can rule through the incumbent D_1 alone, subduing the weak D_2 by force; an established incumbent carries its own administrative apparatus, but ruling through it concedes a per-period autonomy rent $a \geq 0$ in foregone tribute. Or it can install dual vassals, keeping the militarily weak D_2 as a parallel client; a weak client cannot hold the country on its own and must be propped up with a per-period military subsidy $\sigma \geq 0$.

The subsidy is paid out of a fixed war chest B . Sustaining the weak client in both periods requires 2σ ; when $B \in [\sigma, 2\sigma)$ the budget binds and the marginal unit of subsidy carries a shadow price $\lambda > 0$, strictly decreasing in B . The effective per-period cost of the subsidized option is therefore $\sigma(1 + \lambda)$. Writing the two relevant per-period payoffs for s in the neighborhood of the majority band, evaluated at the benchmark tributes,

$$\Pi_I(s) = p(m_f + m_1, m_2) - p(m_1 + m_2, m_f)s - c_f - a, \quad \Pi_D = p(m_f, m_1 + m_2) + c_1 + c_2 - \sigma(1 + \lambda),$$

the foreign rules through the incumbent alone iff $\Pi_I(s) \geq \Pi_D$, which defines the budget-

adjusted cutoff

$$\underline{s}^B \equiv \underline{s} + \frac{\sigma(1 + \lambda) - a}{p(m_1 + m_2, m_f)}.$$

Proposition 3 (A binding budget widens incumbent collaboration). *Let $m_1 > m_2$ with the gap condition of Corollary 1 failing, so $\underline{s} > \frac{1}{2}$ and the benchmark collaborates with the majority incumbent on $[\frac{1}{2}, \underline{s})$. If $\sigma(1 + \lambda) > a$, the two-period budget enlarges this region to $[\frac{1}{2}, \underline{s}^B)$ with $\underline{s}^B > \underline{s}$. The cutoff $\underline{s}^B$ is strictly increasing in the subsidy σ and in the shadow price λ , and strictly decreasing in the autonomy rent a ; because λ falls in B , the region weakly expands as the budget tightens. The range $[\underline{s}, \underline{s}^B)$ is reassigned from dual vassalage to rule through the incumbent alone.*

When the war chest is ample the budget does not bind, $\lambda \rightarrow 0$, and the cutoff settles at $\underline{s} + (\sigma - a)/p(m_1 + m_2, m_f)$; if the maintenance terms further wash out, $\sigma = a$, the benchmark cutoff returns and Figure 3 collapses to Figure 2. The budget bites precisely when it binds. A foreign that must finance several clients from one treasury can no longer afford to prop up the weak everywhere it would like to, so it consolidates on the incumbent that pays for itself. This is the formal content of the claim that supporting the weak grows obsolete under repetition and scarcity, traded for the incumbent's durable but more autonomous partnership.

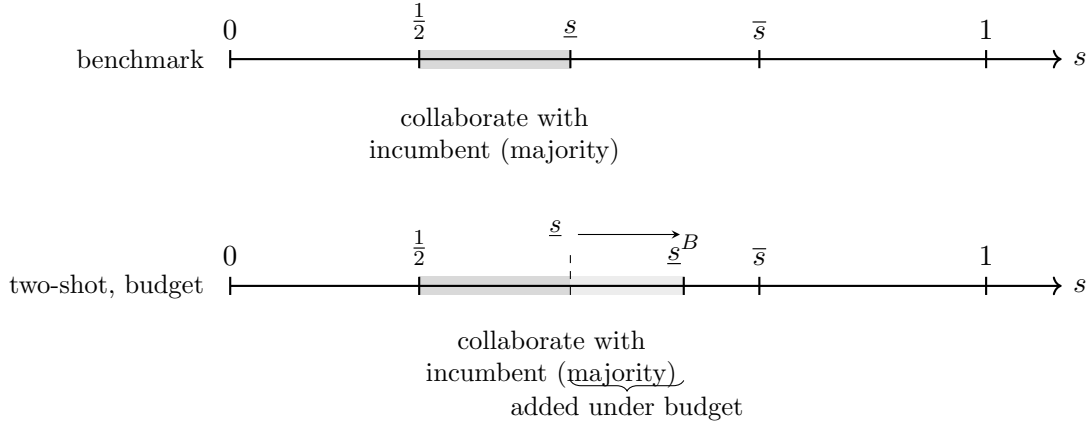


Figure 3: Collaboration with the majority incumbent, benchmark versus two-period rule under a binding budget ($m_1 > m_2$). The benchmark co-opts the majority on $[\frac{1}{2}, \underline{s})$. When the war chest must finance the weak client across periods, its shadow price raises the cost of dual vassalage and pushes the cutoff out to $\underline{s}^B > \underline{s}$, reassigning the band $[\underline{s}, \underline{s}^B)$ from dual vassalage to rule through the incumbent alone.

4 Extension: political preferences

So far factions differ only in strength and share. I now let them differ in how closely their aims track the conqueror's, and I let an installed vassal walk away. This single addition does two things. First, it changes *which* faction is co-opted. Second, it determines *whether* co-optation happens at all, reopening the direct-rule and abstention margins that Proposition 2 closed.

The mathematical intuition for this extension is quite clunky, if not mechanical. We now essentially introduced a free parameter that could help us select an equilibrium. It is only natural that we start to see foreign behavior proliferate in this scenario.

4.1 Alignment and the loyalty constraint

Let $d_i \geq 0$ be the ideological distance between F and faction i , and write $T_i \equiv \tau_i^\circ s_i$ for the tribute the foreign draws from co-opting faction i in the benchmark of Section 2, where τ_i° is the one-shot acceptance rate from Lemma 1; Proposition 1 co-opts the faction with the larger T_i . The relationship between F and an installed vassal is repeated with discount $\delta \in (0, 1)$. Each period the vassal either complies or defects. If it complies, it remits tribute τ_i and bears an identity cost ψd_i from administering F 's program. If it defects, it seizes the one-period grab g_i and reverts to an autonomous outside value $O_i < s_i$. Compliance is sustainable only if

$$\frac{(1 - \tau_i)s_i - \psi d_i}{1 - \delta} \geq g_i + \frac{\delta}{1 - \delta} O_i, \quad (3)$$

which yields a maximal sustainable tribute $\tau_i^{\max}(d_i) = 1 - [\psi d_i + (1 - \delta)g_i + \delta O_i]/s_i$, strictly decreasing in d_i . The tribute F can actually collect is $\tau_i^\dagger = \min\{\tau_i^\circ, \tau_i^{\max}(d_i)\}$.

Proposition 4 (Alignment can override grievance). *Suppose faction 1 is the benchmark co-optation target, with $T_1 > T_2$, but is the more distant, with $d_1 > d_2$. There is a cutoff $\bar{d} > 0$ such that whenever the loyalty constraint binds for faction 1 and $d_1 - d_2 > \bar{d}$, F co-opts the aligned faction 2 instead. The probability that F co-opts faction 1 is strictly decreasing in d_1 and in ψ and increasing in δ .*

A distant vassal tolerates less extraction before reneging. Misalignment therefore erodes the very rents that made faction 1 attractive. Whom an empire backs reflects not only who pays the most but who is loyal enough to keep paying. This sharpens Corollary 1: there the partner's identity turned on the military balance, here it turns on loyalty, and either force can pull the foreign away from the faction the benchmark would otherwise pick.

4.2 The intervention margin: co-opt, conquer, or walk away

Now give F its full action set against a misaligned target. It may co-opt the best available faction, invade and rule directly with its own aligned cadre, or abstain. In flow terms the three options yield

$$V_{\text{co-opt}} = \max_i \frac{\tau_i^\dagger s_i}{1 - \delta}, \quad V_{\text{direct}} = \frac{p(m_f, m_1 + m_2)(1 - \kappa_D) - c_f}{1 - \delta}, \quad V_{\text{out}} = 0.$$

The payoff V_{direct} does not depend on the factions' alignment, because direct rule installs F 's own administration. The payoff $V_{\text{co-opt}}$ falls as the closest faction becomes more distant, through $\tau_i^\dagger$.

Proposition 5 (Misalignment re-opens conquest and exit). *Hold strengths and shares fixed and vary the alignment pair (d_1, d_2) . There are cutoffs $\underline{d} < \bar{d}$ such that:*

- (i) *if $\min_i d_i$ is small, F co-opts (indirect rule);*
- (ii) *if $\min_i d_i$ is large but the prize is worth administering alone, $V_{\text{direct}} > \max\{V_{\text{co-opt}}, 0\}$ and F invades and rules directly;*
- (iii) *if $\min_i d_i$ is large and direct rule is too costly (κ_D high, so $V_{\text{direct}} < 0$), F abstains, taking at most one-shot plunder and leaving.*

Proposition 2 showed that, absent misalignment, the conqueror always prefers to rule through a local. Preferences overturn this. When no faction is close enough to be a reliable agent, the surplus from indirect rule collapses. The conqueror then administers the prize itself under direct rule. If the prize will not cover the cost of governing an alien society alone, it declines to hold the prize and merely plunders. Direct rule and abstention return not through a military advantage but through the breakdown of co-optation. The same alignment parameter sorts targets into three governing modes: indirect rule, direct rule, and plunder-and-leave. All three are equilibrium responses to a single underlying parameter, the loyalty of the available partners.

A Proofs

Proof of Lemma 1. If D_j cooperates, D_i compares accepting, worth $(1 - \tau_i)s_i$, against resisting, worth $p(m_i, m_f + m_j) - c_i$ (fighting the F - D_j coalition for its share). Acceptance is optimal iff $(1 - \tau_i)s_i \geq p(m_i, m_f + m_j) - c_i$, i.e. $\tau_i \leq \tau_i^C$. If D_j resists, accepting makes D_i part of the F - D_i coalition, worth $p(m_f + m_i, m_j)(1 - \tau_i) - c_i$, while

resisting joins collective resistance worth $p(m_1 + m_2, m_f)s_i - c_i$. Acceptance is optimal iff $p(m_f + m_i, m_j)(1 - \tau_i) \geq p(m_1 + m_2, m_f)s_i$, i.e. $\tau_i \leq \tau_i^R$. $\square$

Proof of Proposition 1. Under dual vassalage F maximizes $\tau_1 s + \tau_2(1 - s)$ subject to both acceptance constraints, so it sets (τ_1^C, τ_2^C) and obtains

$$EU_F^{\text{dual}} = \sum_{i=1,2} \left[1 - \frac{p(m_i, m_f + m_j) - c_i}{s_i} \right] s_i = 1 - p(m_1, m_f + m_2) - p(m_2, m_f + m_1) + c_1 + c_2 = p(m_f, m_1 + m_2) + c_1 + c_2,$$

using $p(m_i, m_f + m_j) = 1 - p(m_f + m_j, m_i)$ and additivity of the contest across the two engagements. Ruling through D_1 alone, F sets $\tau_1 = \tau_1^R$ (the most it can charge while D_1 still prefers alliance to resistance) and obtains

$$EU_F^{(1)} = p(m_f + m_1, m_2) \left[1 - \frac{p(m_1 + m_2, m_f)s}{p(m_f + m_1, m_2)} \right] - c_f = p(m_f + m_1, m_2) - p(m_1 + m_2, m_f)s - c_f.$$

Comparing, $EU_F^{(1)} > EU_F^{\text{dual}}$ iff

$$p(m_f + m_1, m_2) - p(m_1 + m_2, m_f)s - c_f > p(m_f, m_1 + m_2) + c_1 + c_2 \iff s < p(m_1, m_2) - \frac{c_f + c_1 + c_2}{p(m_1 + m_2, m_f)} = \underline{s},$$

where the equivalence uses $p(m_f + m_1, m_2) - p(m_f, m_1 + m_2) = p(m_1 + m_2, m_f)p(m_1, m_2)$ along the contest's marginal-contribution identity. The symmetric computation for ruling through D_2 gives the cutoff $\bar{s}$. Hence single-vassal rule through the aggrieved faction is optimal at the extremes and dual vassalage in the middle band. $\square$

Proof of Corollary 1. In the lower region $s < \underline{s}$ the foreign co-opts D_1 , whose share is s , so the co-opted faction is a minority for every such s iff $\underline{s} \leq \frac{1}{2}$. From the definition of $\underline{s}$,

$$\underline{s} \leq \frac{1}{2} \iff p(m_1, m_2) - \frac{1}{2} \leq \frac{c_f + c_1 + c_2}{p(m_1 + m_2, m_f)}.$$

Under $p(x, y) = x/(x + y)$ we have $p(m_1, m_2) - \frac{1}{2} = \frac{m_1 - m_2}{2(m_1 + m_2)}$ and $1/p(m_1 + m_2, m_f) = \frac{m_1 + m_2 + m_f}{m_1 + m_2}$; multiplying the inequality through by $m_1 + m_2 > 0$ gives $m_1 - m_2 \leq 2(c_f + c_1 + c_2)(m_1 + m_2 + m_f)$. The upper region $s > \bar{s}$ co-opts D_2 , whose share is $1 - s$, a minority iff $s > \frac{1}{2}$; by the symmetric argument this holds throughout the region iff $\bar{s} \geq \frac{1}{2}$, i.e. $m_2 - m_1 \leq 2(c_f + c_1 + c_2)(m_1 + m_2 + m_f)$. Combining the two extremes gives the stated condition in $|m_1 - m_2|$, and equivalently in $|p(m_1, m_2) - \frac{1}{2}|$. If the gap exceeds the bound then $\underline{s} > \frac{1}{2}$ (or $\bar{s} < \frac{1}{2}$), and on $(\frac{1}{2}, \underline{s})$ the foreign co-opts D_1 while it holds the majority. $\square$

Proof of Proposition 2. Dual vassalage at (τ_1^C, τ_2^C) is always feasible and, by the proof of Proposition 1, yields F exactly $p(m_f, m_1 + m_2) + c_1 + c_2$. Since F optimizes over co-optation

schedules, its optimal co-optation payoff is at least this. Invasion yields $p(m_f, m_1 + m_2)(1 - \kappa_D) - c_f = p(m_f, m_1 + m_2) - \kappa_D p(m_f, m_1 + m_2) - c_f$. Because $\kappa_D > 0$ and $c_f, c_1, c_2 > 0$,

$$p(m_f, m_1 + m_2) + c_1 + c_2 > p(m_f, m_1 + m_2) > p(m_f, m_1 + m_2)(1 - \kappa_D) - c_f,$$

so optimal co-optation strictly exceeds invasion for every s . F therefore never strictly prefers unilateral invasion. $\square$

Proof of Proposition 3. Fix $m_1 > m_2$. For s in the neighborhood of the majority band the foreign's two relevant per-period payoffs are $\Pi_I(s)$ and Π_D from the text, both evaluated at the benchmark tributes (τ_1^R for incumbent rule, (τ_1^C, τ_2^C) for dual vassalage). By construction $\Pi_I(s) + a = EU_F^{(1)}$ and $\Pi_D + \sigma(1 + \lambda) = EU_F^{\text{dual}}$, the two foreign payoffs from the proof of Proposition 1. Hence

$$\Pi_I(s) \geq \Pi_D \iff EU_F^{(1)} - EU_F^{\text{dual}} \geq a - \sigma(1 + \lambda).$$

From that proof, using $p(m_f + m_1, m_2) - p(m_f, m_1 + m_2) = p(m_1 + m_2, m_f)p(m_1, m_2)$,

$$EU_F^{(1)} - EU_F^{\text{dual}} = p(m_1 + m_2, m_f)p(m_1, m_2) - (c_f + c_1 + c_2) - p(m_1 + m_2, m_f)s = p(m_1 + m_2, m_f)(\underline{s} - s).$$

Substituting,

$$\Pi_I(s) \geq \Pi_D \iff p(m_1 + m_2, m_f)(\underline{s} - s) \geq a - \sigma(1 + \lambda) \iff s \leq \underline{s} + \frac{\sigma(1 + \lambda) - a}{p(m_1 + m_2, m_f)} = \underline{s}^B.$$

Thus rule through the incumbent alone is optimal on $[0, \underline{s}^B)$ and, intersecting with $s > \frac{1}{2}$, the foreign collaborates with the majority on $[\frac{1}{2}, \underline{s}^B)$. Then $\underline{s}^B > \underline{s} \iff \sigma(1 + \lambda) > a$. The comparative statics follow from $\partial \underline{s}^B / \partial \sigma = (1 + \lambda) / p(m_1 + m_2, m_f) > 0$, $\partial \underline{s}^B / \partial \lambda = \sigma / p(m_1 + m_2, m_f) > 0$, and $\partial \underline{s}^B / \partial a = -1 / p(m_1 + m_2, m_f) < 0$; since λ is decreasing in B , $\underline{s}^B$ is decreasing in B . Finally, $[\underline{s}, \underline{s}^B)$ lay in the benchmark dual-vassalage band $(\underline{s}, \bar{s})$ and is now governed by single-incumbent rule, provided $\underline{s}^B \leq \bar{s}$; for larger wedges the dual band is exhausted and the comparison runs directly against single rule through D_2 . $\square$

Proof of Proposition 4. From (3), $\tau_i^{\max}(d_i) = 1 - [\psi d_i + (1 - \delta)g_i + \delta O_i] / s_i$, with $\partial \tau_i^{\max} / \partial d_i = -\psi / s_i < 0$ and $\partial \tau_i^{\max} / \partial \delta = (g_i - O_i) / s_i > 0$ since $g_i > O_i$. F co-opts faction 2 rather than faction 1 iff $\tau_2^\dagger s_2 \geq \tau_1^\dagger s_1$. When the loyalty constraint binds for faction 1, $\tau_1^\dagger s_1 = s_1 - \psi d_1 - (1 - \delta)g_1 - \delta O_1$, strictly decreasing in d_1 with slope $-\psi$, while $\tau_2^\dagger s_2$ is independent of d_1 . At $d_1 = d_2$ the constraints are slack symmetrically and the benchmark ranking $T_1 > T_2$ makes F pick faction 1; as $d_1 \rightarrow \infty$ the inequality reverses. By continuity and monotonicity

there is a unique cutoff $\bar{d}$ in $d_1 - d_2$ beyond which F co-opts faction 2. The probability of co-opting faction 1 is a decreasing step in d_1 and in ψ and increasing in δ (through $\partial\tau_1^{\max}/\partial\delta > 0$). $\square$

Proof of Proposition 5. $V_{\text{co-opt}} = \max_i \tau_i^\dagger s_i / (1 - \delta)$ is nonincreasing in each d_i (through $\tau_i^\dagger = \min\{\tau_i^\circ, \tau_i^{\max}(d_i)\}$, with $\tau_i^{\max}$ strictly decreasing once it binds) and strictly decreasing in $\min_i d_i$ once both loyalty constraints bind. V_{direct} and $V_{\text{out}} = 0$ are independent of (d_1, d_2) . At $\min_i d_i = 0$, Proposition 2 gives $V_{\text{co-opt}} > V_{\text{direct}}$ and $V_{\text{co-opt}} > 0$, so F co-opts; this defines region (i). As $\min_i d_i$ grows, $V_{\text{co-opt}}$ falls continuously and crosses the larger of V_{direct} and 0 at a cutoff $\underline{d}$. For $\min_i d_i > \underline{d}$: if $V_{\text{direct}} > 0$ (equivalently $\kappa_D < 1 - c_f/p(m_f, m_1 + m_2)$) then $V_{\text{direct}} > \max\{V_{\text{co-opt}}, 0\}$ and F invades, region (ii); if $V_{\text{direct}} < 0$ (κ_D large) then $0 > V_{\text{direct}}$ and, once $V_{\text{co-opt}} < 0$ at a second cutoff $\bar{d}$, F abstains, region (iii). Monotonicity of $V_{\text{co-opt}}$ guarantees the cutoffs are well defined with $\underline{d} \leq \bar{d}$. $\square$

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